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Federal Trade Commission
Office of the Secretary
600 Pennsylvania Avenue NW
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Washington, DC 20580

Subject: Comments to Trade Regulation Rule on Unfair or Deceptive Fees (16 CFR Part 464) – Unfair or Deceptive Fees ANPR, R207011

The Association of National Advertisers (“ANA”) respectfully submits these Comments in response to the request by the Federal Trade Commission (“FTC” or “Commission”) for public comments on the FTC’s proposed Advance Notice of Proposed Rulemaking (“ANPR”) on a Trade Regulation Rule on Unfair or Deceptive Fees.¹

ANA’s mission is to drive growth for marketing professionals, for brands and businesses, and for the industry. Growth is foundational for all participants in the advertising and marketing ecosystem. ANA’s membership consists of more than 1,600 domestic and international companies, including over 1,000 client-side marketers and nonprofit fundraisers, and 600 marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). Collectively, ANA member companies represent 20,000 brands, engage 50,000 industry professionals, and invest more than \$400 billion in marketing and advertising annually.

ANA favors preserving the integrity of fair and transparent sales and pricing disclosures. Our members are committed to ensuring that fees are adequately disclosed and accurate to preserve fair market competition, inform consumers and minimize any consumer frustrations. ANA’s main concerns with the present ANPR are its prematurity and breadth of application. In order to initiate rulemaking, the FTC must (1) demonstrate prevalence of unfair or deceptive fees and (2) indicate a widespread pattern of unfair or deceptive acts or practices. Although the ANPR identifies several potentially affected industries and bases its approach largely on one third-party petition, it has not presented evidence that would lead to sufficiently clear, narrowly tailored, easy-to-enforce trade regulation that would not overly burden

¹ See Request for Public Comment, 16 CFR Part 464 (Fed. Trade Comm’n Nov. 8, 2022) (hereinafter *ANPR*).

legitimate marketers. We urge the FTC to pause its rulemaking efforts and to consider and explore alternatives to rulemaking, as discussed herein.

Additionally, ANA is concerned that the FTC's ANPR signals that it intends to abandon the long-standing iterative process of molding commercial behavior through enforcement, education, and cooperation with industry which is closest to the technical matters at issue. Instead, it appears the ANPR signals an intent to launch into expensive, time-consuming, formal rulemaking without any indication that the FTC has obtained new empirical evidence that would help it formulate rules, let alone justify a one-size-fits-all rule. At this preliminary stage in the rulemaking process, ANA urges the FTC to (1) pause rulemaking until it has engaged in sufficient fact-finding and analysis (which may produce an empirical basis for imposing specific rules on an industry whose competing interests are complex and whose members generally are seeking the same level of transparency and accuracy as are consumers and the FTC); (2) identify a particular industry group and how unfair or deceptive fee practices affect that particular industry; and (3) announce and plan a series of workshops and/or roundtables in 2023 that may inform the FTC about whether trade regulation rules backed by statutory monetary penalties are needed to enhance compliance, promote competition, and protect the integrity and transparency of advertising for consumers.

I. THE FTC LACKS EMPIRICAL EVIDENCE IN ORDER TO ENGAGE IN RULEMAKING

ANA agrees that there are marketers engaging in unfair or deceptive fee disclosure practices and appreciates the FTC's actions to prevent misleading fee practices. However, the FTC has not presented sufficient evidence of the prevalence of such practices beyond anecdotal evidence and a few small-scale studies.

A. EVIDENCE OF PREVALENCE OF UNFAIR OR DECEPTIVE PRACTICES

The FTC has failed to present sufficient empirical evidence surrounding the prevalence of unfair or deceptive fee disclosure practices in the marketplace to justify rulemaking. Under the Magnuson-Moss Warranty – Federal Trade Commission Improvement Act, the FTC must “make a determination that unfair or deceptive acts or practices are prevalent,” and the FTC can make that determination if “information available to the FTC indicates a widespread pattern of unfair or deceptive acts or practices.”² The FTC should engage in its usual fact-finding in order to better ascertain and understand the pervasiveness of deceptive or unfair fee practices. For example, before enacting the Eyeglass Rule, the FTC engaged in studies of industry behavior, which confirmed that states with restrictions on advertising had higher prices for eyeglasses than states without restrictions.³ Consequently, the FTC was able to determine what kind of rule should be enacted (if at all). The ANPR recognizes that the Commission is still seeking comment on the prevalence of the practices that are the focus of this initiative and “the costs and benefits of a rule that would require upfront inclusion of any mandatory fees whenever consumers are quoted a price for a

² 15 U.S.C. § 57a(b)(3).

³ See *Federal Trade Commission, Staff Report on Advertising of Ophthalmic Goods and Services and Proposed Trade Regulation Rule (16 CFR Part 456)* (May 1977), <https://www.ftc.gov/reports/staff-report-advertising-ophthalmic-goods-services-proposed-trade-regulation-rule-16-cfr-part-456>; *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).

good or service and other potential rule requirements to curtail unfair or deceptive fees.”⁴ In fact, the New York University School of Law’s Institute for Policy Integrity (the “Institute”) urges the FTC to undergo “rigorous assessment of regulatory costs and benefits” to support a regulation of drip pricing.⁵ The FTC should follow its typical practices of fact-finding in order to illustrate prevalent deception prior to issuing a Notice of Proposed Rulemaking (“NPRM”).

Prevalence should be shown through a “deep understanding of why a practice occurs, the circumstances in which it is used, and the precise conditions under which the practice helps or harms consumers in different situations.”⁶ The FTC traditionally has thoroughly developed and presented evidence of prevalence of consumer harm *prior to* embarking on rulemaking procedures. For example, through the Business Opportunity Rule, the FTC found that unfair and deceptive practices were widespread in the sale of franchises and business opportunities, causing serious economic harm to consumers (defendants in FTC cases alone caused tens of thousands of consumers to lose a total of more than \$100 million).⁷ Similarly, throughout the Funeral Rule proceedings, the Commission stated that consumers were subjected to costly harms and the monetary injury to consumers from unnecessary purchase of these kinds of items was “substantial” and caused “significant consumer injury,” as outlined through consumer complaints, consumer testimony, and litigated cases.⁸ Last year, the Commission released an ANPR on Deceptive or Unfair Earnings Claims and noted the “significant” financial consequences for consumers, resulting in hundreds of millions of dollars of alleged consumer harm which resulted from this prevalent deception.⁹ To be clear, ANA does not take the untenable position unfair or deceptive fee practices may not produce economic injury; however, contrary to past practice, the FTC has not developed or presented evidence of consumer harm across all the industries it wishes to regulate through this rulemaking.

1. INSUFFICIENT RELIANCE ON THE PETITION

The FTC has not presented sufficient evidence of prevalence in substantial part because the basis of its argument relies on a flawed petition. The FTC can base its evidence of prevalence on facts derived from

⁴ ANPR, *supra* note 1.

⁵ See Inst. for Policy Integrity, Pet. for Rulemaking Concerning Drip Pricing 25–31 (2021), https://policyintegrity.org/documents/Petition_for_Rulemaking_Concerning_Drip_Pricing.pdf (hereinafter *Policy Integrity Pet.*).

⁶ *Back to the Future: How Not to Write a Regulation*, Timothy J. Muris and J. Howard Beales, AMERICAN ENTERPRISE INSTITUTE (May 26, 2022), <https://www.aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/>.

⁷ See, e.g., FTC News Release: Criminal and Civil Enforcement Agencies Launch Major Assault Against Promoters of Business Opportunity and Work-at-Home Schemes (Feb. 22, 2005) (available at <http://www.ftc.gov/opa/2005/02/bizoppflop.htm>).

⁸ *Amended Funeral Rule Statement of Basis and Purpose*, 59 FR 1592 (Jan. 11, 1994).

⁹ Deceptive or Unfair Earnings Claims, FED. TRADE COMM’N (Mar. 11, 2022) <https://www.federalregister.gov/documents/2022/03/11/2022-04679/deceptive-or-unfair-earnings-claims#footnote-23-p13952> (“The financial consequences of this deception for consumers are significant”); see, e.g., *FTC v. OTA Franchise Corp.*, No. 8:20-cv-287 (filed C.D. Cal. 2020) (alleging consumer harm of over \$370 million); *FTC v. Neora, LLC*, No. 3:20-cv-1979 (filed D.N.J. 2019, transferred N.D. Tex.) (alleging consumer harm of over \$120 million); *FTC v. Mobe*, No. 6:18-cv-862, Dkt. No. 257, *Renewed Motion for Default Judgment*, at 5 (filed M.D. Fla. 2018) (alleging consumer harm of over \$318 million); *FTC v. The Tax Club, Inc.*, No. 13-cv-210 (filed S.D.N.Y. 2016) (alleging consumer harm of over \$200 million). (Individual losses can be substantial; for example, tens of thousands of purchasers in the OTA Franchise matter each paid over \$10,000 for purported courses on how to make money trading in the financial markets.).

studies, reports, investigations, hearings, and other proceedings, or within official notice, concerning the substantive requirements of the statutes which it administers.¹⁰ Thus far, the Commission primarily and heavily relies on the Institute's *Petition for Rulemaking Concerning Drip Pricing* (the "Petition"), which fails to demonstrate the prevalence of such issue among affected parties. The FTC notes that it finds the "[P]etition and the public comments submitted in response to it persuasive" and ultimately granted the Institute's Petition for rulemaking.¹¹ The Petition addresses market and consumer behaviors as they relate to drip pricing¹² with the support of research studies. However, the Petition should not be heavily relied on because (1) it does not provide evidence indicative of the US market, (2) it is not inclusive of all industries to be affected by the rulemaking, and (3) consumer injury has not been adequately proven or supported.

a) THE EVIDENCE PRESENTED IS NOT INDICATIVE OF THE US MARKET

While the Institute references several studies in an effort to display commercial behaviors in the United States as they relate to drip pricing, the evidence it presents from these studies does not support a rulemaking because it is not specific to the United States, and thus insufficiently represents the average American market and consumer. The Petition urges the FTC to undertake a rulemaking with the support of two studies. The first study, *Deceptive Features on Platforms*,¹³ analyzes "incentives of online platforms to hide additional" mandatory fees, such as service charges from the market.¹⁴ However, it does so without a geographical target. Rather, the study (1) references major online platforms (e.g., Airbnb, Hotel.com, and Expedia) without clarifying the geographical origin of each; (2) references several major online platforms on an international basis (e.g., eBay Germany); (3) relies on multi-jurisdictional findings, including the EU; and (4) reviews and analyzes internationally-based efforts in tackling the issue of drip pricing.¹⁵ The second study, *Little Makes a Mickle: Why Do Consumers Negatively React to Sequential Price Disclosure?*,¹⁶ found that "sequential final price disclosures both increased 'a consumer's perceived price complexity' and 'decreased their perceived transparency of a firm's pricing.'"¹⁷ This study was conducted solely in Germany utilizing less than 300 undergraduate students from the region.¹⁸ Not only is this study focused on German-based consumers, but it utilized solely *undergraduate* students in that country. Neither of the studies specifically analyzes the effects of drip pricing exclusively to the United States or on American consumers. The FTC's efforts should be engaged in understanding the American

¹⁰ 16 C.F.R. § 1.22 (Lexis Advance through the Dec. 30, 2022 issue of the Federal Register, with the exception of the amendments appearing at 87 FR 80002).

¹¹ ANPR, *supra* note 1.

¹² See Policy Integrity Pet., *supra* note 5, at 1 (defining "drip pricing" as "the practice of advertising only part of a product's price upfront and revealing additional charges later as consumers go through the buying process").

¹³ Johannes Johnen & Robert Somogyi, *Deceptive Features on Platforms* 3 (Ctr. For Econ. Policy Research, Discussion Paper DP16175, 2021) (Rev. 27, May 2022), <https://ssrn.com/abstract=3886615> (hereinafter *Johannes*).

¹⁴ Cmt. of Policy Integrity on Pet. at 1 (Jan. 25, 2022) (available at <https://www.regulations.gov/comment/FTC-2021-0074-0003>).

¹⁵ See Johannes, *supra* note 13 (discussing the issues of deceptive pricing disclosure practices).

¹⁶ Dirk Totzek & Gabriel Jurgensen, *Many a Little Makes a Mickle: Why Do Consumers Negatively React to Sequential Price Disclosure?*, 38 PSYCHOL. & MARKETING 113, 113 (2021), <https://doi.org/10.1002/mar.21426> (hereinafter *Totzek*).

¹⁷ See ANPR, *supra* note 1 (noting the general findings of Totzek, *supra* note 17).

¹⁸ Totzek, *supra* note 17, at 119.

economy and the American consumer's behaviors within the realm of fee disclosure practices to support its overall understanding of the issue.

b) GENERALIZATION BASED ON TWO INDUSTRIES

The Petition generalizes evidence specific to two industries in its discussions of market competition and consumer injury.¹⁹ For example, with respect to the effects of drip pricing practices on market competition, the Institute points to the findings of the Government Accountability Office (“GAO”) which demonstrate “sellers that do not provide enough or full information on prices through hidden fees could have competitive advantage because they would be perceived as offering lower prices over their competitors that do provide full information showing the price.”²⁰ Even though this observation is derived from studying the event ticket sales industry, the Institute generalizes this finding in stating that drip pricing undermines healthy market competition generally.²¹ The FTC also generalizes singular findings across industries as it notes the spread and growth of junk fees. It states, “in various industries, fees are increasing at higher rates than the base prices of the goods or services to which they are added.”²² The ANPR presents no evidence of the fees increasing at higher rates than the base prices across the board. The FTC references this phenomenon specifically as found in the hotel industry between the 1990s and 2015, but does not present any further evidence representative of other industries or that shows this phenomenon is still current.²³

The Petition analyzes consumer injury through two categories: consumer search times and financial costs, both specific to the event ticket sales and hotel industries.²⁴ Mary Sullivan, FTC economist, noted in her economic analysis of hotel resort fees that undisclosed mandatory resort fees harm consumers by artificially increasing their search costs and their cognitive costs.²⁵ Similarly, the GAO also concluded that consumer search costs are reduced when full price information is disclosed.²⁶ Although investment of time can sufficiently constitute a substantial injury to consumers in evidencing prevalence, the Institute discusses this phenomenon solely with respect to the event ticket sales and hotel industries, and thus these conclusions should not be generalized as true in other industries without support. With respect to financial

¹⁹ See generally Johannes, *supra* note 13; see Policy Integrity Pet., *supra* note 5, at 9 (discussing findings derived from MARY W. SULLIVAN, FED. TRADE COMM’N, ECONOMIC ANALYSIS OF HOTEL RESORT FEES v (2017) (hereinafter *Sullivan*); also discussing findings derived from Morgan Foy, *Buyer beware: Massive experiment shows why ticket sellers hit you with last-second fees*, BERKELEYHAAS (Feb. 9, 2021), <https://newsroom.haas.berkeley.edu/research/buyer-beware-massive-experiment-shows-why-ticket-sellers-hit-you-with-hidden-fees-drip-pricing/>); see *id* at 16 (discussing findings derived from Tom Blake et al., *Price Salience and Product Choice* Nat’l Bureau of Econ. Research, Working Paper No. 25186 (2018) (hereinafter *Blake*)).

²⁰ U.S. GOV’T ACCOUNTABILITY OFFICE, GAO-18-347, EVENT TICKET SALES: MARKET CHARACTERISTICS AND CONSUMER PROTECTION ISSUES 9 (2018), <https://www.gao.gov/assets/700/691247.pdf> (hereinafter *GAO*).

²¹ Policy Integrity Pet., *supra* note 5, at 9.

²² ANPR, *supra* note 1.

²³ NAT’L ECON. COUNCIL, THE COMPETITION INITIATIVE AND HIDDEN FEES 7-15 (2016), https://obamawhitehouse.archives.gov/sites/whitehouse.gov/files/documents/hiddenfeesreport_12282016.pdf (“Competition Initiative”).

²⁴ Policy Integrity Pet., *supra* note 5, at 8.

²⁵ *Id.* at 8 (discussing study findings obtained from Sullivan, *supra* note 19, at 37).

²⁶ *Id.* at 8 (discussing findings obtained from GAO, *supra* note 20, at 42).

costs to consumers, the Petition points to a study conducted by StubHub, an online ticket exchange and resale company, which found that “consumers who were subject to drip pricing on its website spent 19.52% more than consumers who were shown the full price upfront.”²⁷ Further, the Petition notes that within the event ticket sales industry, consumers subject to drip pricing spent over 15% more in cost than those who were not subject to drip pricing.²⁸ Outside of the event ticket sales industry, the Petition noted that “in 2017, the hotel industry made \$2.7 billion on resort fees” to illustrate the aggregate harm to consumers.²⁹ Although these findings are relevant to the FTC’s current initiatives, these points of evidence only apply to the event ticket sales and hotel industries. As such, these should not be generalized across the board to show prevalence and the impact of deceptive or unfair fee practices on the general market and on consumers. Rather, the ANA urges the FTC to uncover any effects of unfair or deceptive fee practices as applied to each industry it is seeking to govern through intense industry-specific fact-finding.

c) INSUFFICIENT EVIDENCE OF CONSUMER INJURY

The FTC and Petition discuss the challenges consumers face from unfair or deceptive fee practices without truly defining or quantifying the extent of these challenges. One of the studies the Petition focuses on with respect to consumer injury is the *Event Ticket Sales: Market Characteristics and Consumer Protection Issues* report. Based on this study, “sellers [in the event ticket sale industry] engaged in drip pricing cause consumers to expend *additional time* on their purchasing decision [which makes] it *difficult* for consumers to comparison shop.”³⁰ Neither the GAO nor the Institute discussed what exactly “additional time” and “difficulty” entail. For example, what amount of “added time” is significant enough to constitute an injury to the consumer (*e.g.*, one minute, 15 minutes, 1 hour, several days)? How is “difficulty” defined and measured when it comes to consumer injury? Without defining the measurements by which consumer injury is assessed, concrete evidence of said injury is incomplete.

B. FACT-FINDING AND ENFORCEMENT ACTIONS

The FTC has not engaged in sufficient enforcement policies and actions to justify abruptly engaging in a rulemaking. In its ANPR, the Commission refers to its “long record of related enforcement actions.”³¹ The FTC’s stated objective in engaging in rulemaking is to address several practices, including the practice of “misrepresenting or failing to disclose clearly and conspicuously, on any advertisement or marketing, the total cost of any good or service for sale” and “billing or charging consumers for fees, interest, goods, services, or programs without express and informed consent,” among several others.³² However, the FTC has only presented evidence of a few workshops, business guidance, and investigations, but not enforcement actions. In the last 10 years or so, the FTC hosted one conference and two workshops relating to unfair or deceptive fee practices: (1) in 2012, the FTC held a conference which brought together

²⁷ *Id.* at 15 (discussing findings obtained from Blake, *supra* note 19).

²⁸ *Id.* at 16 (discussing findings obtained from Blake, *supra* note 19).

²⁹ *Id.* at 16 (discussing findings obtained from Shelle Santana et al., *Consumer Reactions to Drip Pricing*, 39 MARKETING SCI. 188, 189 (2020)).

³⁰ GAO, *supra* note 20, at 45 (emphasis added).

³¹ ANPR, *supra* note 1.

³² *Id.*

economists and marketing experts to examine the motivation for drip pricing and its impact on consumers, empirical studies, and policy issues pertaining to drip pricing;³³ (2) in 2019, the FTC held a one-day workshop examining consumer protection issues related to the online event ticket marketplace;³⁴ and (3) in 2020, the FTC hosted a workshop aimed to highlight the issues facing consumers attempting to purchase event tickets online, including ticket cost transparency.³⁵ These are the only actions the FTC has undertaken specific to the unfair or deceptive fee practices it focuses on in its ANPR.

In other rulemaking procedures, the FTC has presented a vast number of adjudicated cases.³⁶ This was the case with the Business Opportunity Rule, for example, where the FTC “conducted more than 11 business opportunity sweeps, many with other federal and state law enforcement partners, to combat persistent business opportunity scams violating the Franchise Rule, such as those involving the sale of vending machines, rack displays, public telephones, Internet kiosks, and 900-number ventures, among others.”³⁷ In rules such as the Business Opportunity Rule, the Commission found that fraud was “widespread, causing serious economic harm to consumers” through its developed rulemaking record. However, here the Commission does not cite more than a few actually litigated cases, actual holdings, or final decisions by a court and these are not specific to the unfair or deceptive fee practices it focuses on in its ANPR.³⁸

The FTC should engage in its typical fact-finding before initiating or promulgating a trade regulation rule. In developing other trade regulation rules, the FTC often engaged in meaningful fact-finding to discover evidence to prompt the inquiry whether rulemaking is necessary. For example, prior to the Commission seeking comment on its NPRM related to the “Made in USA” (MUSA) Rule, the Commission engaged in meaningful fact-finding endeavors.³⁹ It noted that it “held a public workshop and collected public comments in support of a review of its MUSA program. Workshop participants and commenters discussed

³³ FED. TRADE COMM’N, THE ECONOMICS OF DRIP PRICING (2012), <https://www.ftc.gov/news-events/eventscalendar/2012/05/economics-drip-pricing>.

³⁴ FED. TRADE COMM’N, ONLINE EVENT TICKETS WORKSHOP (2019), <https://www.ftc.gov/news-events/eventscalendar/2019/03/online-event-tickets-workshop>.

³⁵ FED. TRADE COMM’N, “*That’s the Ticket*” Workshop: Staff Perspective, 4 (May 2020).

³⁶ See, e.g., *Business Opportunity Rule*, FED. TRADE COMM’N, 71 FR 19053 (April 12, 2006), <https://www.federalregister.gov/documents/2006/04/12/06-3395/business-opportunity-rule> (“Since 1990 alone, the Commission has brought more than 140 Franchise Rule cases against vending machine, rack display, and similar opportunities.”).

³⁷ *Business Opportunity Rule*, FED. TRADE COMM’N, 71 FR 19053 (April 12, 2006), <https://www.federalregister.gov/documents/2006/04/12/06-3395/business-opportunity-rule>.

³⁸ See *Encyc. Britannica, Inc.*, 87 F.T.C. 421, 495-97, 531 (1976), *aff’d*, 605 F.2d 964 (7th Cir. 1979), *as modified*, 100 F.T.C. 500 (1982) (preventing door-to-door encyclopedia salespersons from initially posing as advertising researchers); see also Fed. Trade Comm’n, FTC Enforcement Policy Statement on Deceptively Formatted Advertisements 8 & n.29 (2015) (collecting such cases), https://www.ftc.gov/system/files/documents/public_statements/896923/151222deceptiveenforcement.pdf (enforcing the Telemarketing Sales Rule against parties mischaracterizing the commercial nature of their calls); see also *Resort Car Rental Sys., Inc. v. FTC*, 518 F.2d 962, 964 (9th Cir. 1975) (prohibiting a rental car company from using the misleading name “Dollar-a-Day” to lure customers); see also *FTC v. Connelly*, No. 06-cv-701, 2006 WL 6267337, at *11-12 (C.D. Cal. Dec. 20, 2006) (disciplining a debt-negotiation company for its false pledge to settle all client accounts for 40-60% of the debt owed).

³⁹ See *Made in USA Labeling Rule*, 85 FR 43162 (proposed July 16, 2020) (to be codified at 16 CFR 323).

a variety of issues, including consumer perception of MUSA claims, concerns about the FTC’s current enforcement approach, and potential changes to the FTC’s MUSA program, including through rulemaking.”⁴⁰ The NPRM was preceded by a review of the FTC’s long-standing efforts to prevent deceptive MUSA claims,⁴¹ which included a 2019 public workshop, where stakeholders expressed nearly universal support for a rule addressing MUSA labels in order to promote clarity and certainty.⁴² By contrast, in the present ANPR, international market and consumer behavioral studies, unrelated enforcement actions, and limited adjudications are the *sole* ways the Commission unjustifiably presents “prevalence” across *all* industries in the United States as it relates to junk fees, hidden fees, and drip pricing.

C. RELIANCE ON ANECDOTAL EVIDENCE

The FTC makes a number of assumptions concerning unfair or deceptive fees, without evidence to support these assumptions. The FTC states, “American consumers, workers, and small businesses today are swamped with junk fees that frustrate consumers, erode trust, impair comparison shopping, and facilitate inflation.”⁴³ In support of this notion, the FTC points to comments received from consumers, as well as personal frustrations felt by Commission members. The consumer comments received in response to the FTC’s publication of the Petition primarily reflect brief individual opinions. For example, a consumer commented: “drip pricing wastes time as I have to take extra steps in online purchases to reach the checkout window before the vendor provides me with a final price.”⁴⁴ Some comments received from consumers note that they have experienced drip pricing across several industries.⁴⁵ The FTC also relies on the Consumer Financial Protection Bureau’s request for comment, which received over 50,000 comments whereby consumers relayed their frustrations related to hidden fees. Lastly, Commissioner Rebecca Slaughter’s personal frustrations with experiences in the ticket sale industry are referenced.⁴⁶ In addition to the material already discussed, the FTC attempts to utilize personal frustrations and consumer opinions as true evidence. This appears to be a collection of anecdotes projected to a population as a whole without proper statistical support. Reliance on anecdotal evidence and assumptions about

⁴⁰ *Id.*

⁴¹ See *Legal Library: Cases and Proceedings*, FED. TRADE COMM’N, https://www.ftc.gov/legal-library/browse/cases-proceedings?sort_by=field_date&items_per_page=20&field_legal_library_record_types%5B21%5D=21&field_mission%5B29%5D=29&search=&field_competition_topics=All&field_consumer_protection_topics=1410&field_federal_court=All&field_industry=All&field_case_status=All&field_enforcement_type=All&search_matter_number=&search_civil_action_number=&start_date=&end_date (displaying 167 Closing Letters dated 2014 - 2022 leading up to the MUSA Rule whereby the Commission clarifies, defines, and refines the contours of the MUSA enforcement policy, ultimately developing a sufficient record of enforcement to justify a rulemaking).

⁴² Transcript of Made in USA: An FTC Workshop (Sept. 26, 2019) at 63-72, <https://www.ftc.gov/news-events/events-calendar/made-usa-ftc-workshop>; see also *id.*

⁴³ ANPR, *supra* note 1.

⁴⁴ See Cmt. of Daniel Melling on Policy Integrity Pet. (Jan. 26, 2022), <https://www.regulations.gov/comment/FTC-2021-0074-0011> (attaching screenshots).

⁴⁵ See Cmt. of Ralph Grove on Policy Integrity Pet. (Jan 26, 2022), <https://www.regulations.gov/comment/FTC-2021-0074-0014>.

⁴⁶ Commissioner Rebecca K. Slaughter, Opening Remarks at an FTC Workshop About Online Ticket Sales 2, FTC (June 11, 2019), transcript available at https://www.ftc.gov/system/files/documents/public_statements/1527238/slaughter_-_prepared_remarks_ftc_tickets_workshop_6-11-19.pdf.

prevalence is not the same as developing “systematic, quantitative, and qualitative empirical evidence to address the extent of the problem it seeks to address, the forces that cause the problem or the reasons that prevent a market resolution, and the efficacy of the proposed remedy.”⁴⁷ Although these shared frustrations do bring to light a problem within fee disclosure practices, they are not enough to support a rulemaking of this breadth. With these expressions of frustrations, it is then the role of the FTC to properly gather statistical support and understanding of the unfair or deceptive fee practices it may wish to address through a rulemaking.

II. NARROWLY TAILORING THE RULEMAKING

The FTC argues that based on its “substantial work in this area, ... junk fees appear to be prevalent in many sectors of the American Economy.”⁴⁸ However, it has not presented substantial and relevant empirical evidence regarding how junk fees affect a particular industry or the industry as a whole. ANA urges the FTC to engage in proper and thorough fact-finding about how unfair or deceptive fees affect a particular industry before contemplating the proposed rule. Prior to issuing an NPRM, the FTC should narrowly tailor the rulemaking to a particular industry group and apply the rule to a specific population partaking in specific actions. For example, in the past, the FTC has effectively focused on specific industries under a proscribed regimen in order to initiate rulemaking. When developing the Business Opportunity Rule, the initial NPRM inadvertently swept in and covered acts by *all* multilevel marketers (MLMs).⁴⁹ In response, the Commission received an overwhelming majority of comments from the multilevel marketing industry, which urged the Commission to narrow the scope of the proposed rule in order to not broadly sweep in MLMs throughout a variety of industry groups.⁵⁰ Taking this into account, the FTC revised the NPRM and exempted multilevel marketing firms.⁵¹ In the case of the FTC’s Funeral Rule, the FTC identified a prevalent problem in the specified funeral industry. The FTC focused on a particular industry group it found, through empirical evidence, was taking advantage of grieving family and friends confronted with decisions about a funeral, which must be made quickly and under emotional duress.⁵² In fact, through an investigation which led the staff to conclude that more detailed examination of the *industry’s* practices was warranted, the Commission was able to recommend the commencement of a rulemaking proceeding.⁵³ These instances further exemplify the need to identify a particular industry engaging in harmful practices. If the FTC does not tailor its rulemaking to a particular industry, it runs the risk of broadly sweeping in a variety of industry groups. It is imperative that any rulemaking applies to well-defined populations, with requirements that apply in well-defined circumstances. At this point, although the FTC discusses hidden and junk fees within the ticket sale and hotel industries, the FTC has failed to identify a well-defined population and to produce sufficient evidence as to how the acts and

⁴⁷ *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).

⁴⁸ ANPR, *supra* note 1.

⁴⁹ *Business Opportunity Rule*, FED. TRADE COMM’N, (March 26, 2009), <https://www.federalregister.gov/documents/2008/03/26/E8-6059/business-opportunity-rule>.

⁵⁰ *Id.*

⁵¹ *Id.*

⁵² *Funeral Rule*, FED. TRADE COMM’N (Dec. 25, 2022), <https://www.ftc.gov/news-events/topics/truth-advertising/funeral-rule>.

⁵³ *Amended Funeral Rule Statement of Basis and Purpose*, 59 FR 1592 (Jan. 11, 1994).

practices affect a particular industry. Given the clear prematurity in embarking upon rulemaking, ANA urges the FTC to engage in proper fact-finding about how unfair or deceptive fee practices affect a particular industry before contemplating a proposed rule.

Furthermore, rulemaking is complicated and time-consuming, but the FTC has been successful when it proceeds with specificity and addresses rulemaking with a narrow and identified set of prevalent harms within a singular industry. For instance, rules such as the Mail, Internet, or Telephone Order Merchandise Rule, Funeral Rule, and the Cooling Off Rule systematically targeted, tailored, and outlined specific issues in a particular industry. Rules such as “Ophthalmic Goods” (Eyeglass Rule) and “Prescription Drugs,” “seemed to move more swiftly and smoothly through all stages of the process” because they effectively identified the problems and harms in the relevant industry.⁵⁴ Additionally, the Do Not Call Registry Rule was quite broad and was quickly and substantially tailored to address problematic behavior.⁵⁵ Narrowing and honing in on a particular issue allowed the FTC to save resources. Conversely, the Funeral Rule’s adoption would have been much swifter if the FTC had continued to conduct studies rather than making assumptions about the proper remedy. While the ANA agrees that the practices captured in the ANPR are problematic and deceptive, the ANA urges the Commission to engage in more specificity to avoid unduly burdening and stifling legitimate business activities in the United States and to facilitate a more constructive rulemaking process. Hence, the FTC should pause its rulemaking process and establish the narrow set of issues in demonstrated circumstances and conditions before embarking on a NPRM. In doing so, the Commission will receive much more helpful input if it is clear about what acts and practices are in fact violations of the law and narrows its efforts to specific industries and practices.

III. INTERACTION WITH EXISTING LAWS AND RULES

In its hopes of addressing unfair or deceptive fees across multiple industries, the FTC’s proposal appears to overlap with several existing regulations related to advertising and disclosures. For example, the Truth in Lending Act (“TILA”) and Regulation Z⁵⁶ outline complex credit disclosure requirements, including advertisement terms that trigger disclosure about fees, interest, charges, or other costs. TILA specifically requires the disclosure of the number of payments, annual percentage rate, late fees, finance charges, whether a borrower can prepay the loan without penalty, and other important terms before the consumer borrows.⁵⁷ It also specifies the timing by which certain disclosures must be made (*e.g.*, an adjustable rate must “be preceded by the duration of any introductory rate or payment period, and the first adjustment period, as applicable”).⁵⁸ Although this potential overlap exists, the FTC failed to outline or discuss how the proposed rulemaking will be applied in light of TILA, such as how the two will interplay with respect to the timing of adjustable rate disclosures. The FTC considers imposing more stringent requirements

⁵⁴ *Back to the Future: How Not to Write a Regulation*, Timothy J. Muris and J. Howard Beales, AMERICAN ENTERPRISE INSTITUTE (May 26, 2022) at 26, [aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/](https://www.aei.org/research-products/report/back-to-the-future-how-not-to-write-a-regulation/).

⁵⁵ Office of the Federal Register, National Archives and Records Administration, “Telemarketing Sales Rule,” *Federal Register* 60, no. 30 (February 14, 1995): 8313–33 (original proposal); and “Telemarketing Sales Rule,” *Federal Register* 60, no. 110 (June 8, 1995): 30406–28 (revised proposal).

⁵⁶ 12 C.F.R. § 1026 (2018).

⁵⁷ See 12 C.F.R. § 1026.37 (2018).

⁵⁸ See 12 C.F.R. § 1026.37(a)(10)(iii) (2018).

with respect to disclosure of all fees, interest, and charges regardless of whether the advertisement contains trigger terms.

Similarly, the Commission recognizes that several state laws address fee disclosure practices specific to the entertainment ticket sale industry. Connecticut has in effect a law requiring that all advertisements for an in-state event must conspicuously disclose in the advertisement “the total price for each ticket and what portion of each ticket price, stated in a dollar amount, represents a service charge.”⁵⁹ In New York, Governor Kathy Hochul signed legislation aimed to “increase transparency for consumers purchasing tickets to live events by banning hidden fees.”⁶⁰ The FTC does not discuss how the proposed rule will interact with these state requirements. Beyond federal and state legislation, the FTC enforces several rules which also govern when and how pricing information specific to individual industries should be conveyed to consumers. The Telemarketing Sales Rule “requires sellers and telemarketers to disclose the total cost to buy, receive, or use the offered good or service,” including disclosing the total number of installment payments and the payment amount for each.⁶¹ The Funeral Rule specifies six disclosures which must be included in the general price list provided to consumers, including the casket price list and basic service fees.⁶² In both of these rules, the FTC studied specific industries and identified unfair or deceptive disclosure practices within each, while creating specific, elaborate, and narrowly tailored rules to govern those industries. As with the existing federal and state laws, the FTC makes no mention of how these existing regulations and the proposed rulemaking will co-exist. The FTC is silent on whether industry-specific rules have failed to effectively or properly address deceptive and unfair fee practices, and thus warrant the proposed rulemaking. If the FTC proceeds in the rulemaking process, the FTC should specify the interplay between the potential rule and existing laws and regulations.

IV. THE FTC SHOULD PROCEED WITH ALTERNATIVE APPROACHES TO ADDRESS ITS ISSUES

The FTC should supplement its efforts by asking industry-specific questions about, among other things, how pricing practices and fee disclosures vary across different industries and markets, as well as how consumer expectations and harm differ across sectors. Without empirical evidence on the variety of diverse experiences of consumers and advertisers, a blanket rule would be too broad. ANA agrees that consumers should have access to sufficient information to make informed decisions and not be charged for products or services they did not agree to purchase; but there is no evidence that there is the same harm and impact in all contexts or industries. Additionally, there is no evidence in the ANPR that existing rules and laws fail to address and tackle this issue.

For reasons discussed above, and with ANA’s recognition that fee disclosures are a legitimate area of regulatory focus, the Commission should immediately proceed with alternatives to this rulemaking. The

⁵⁹ CONN. GEN. STAT. § 53-289a.

⁶⁰ See Press Release, Gov. Kathy Hochul, *Governor Hochul Signs Legislation Targeting Unfair Ticketing Practices in Live Event Industry* (June 30, 2022), <https://www.governor.ny.gov/news/governorhochul-signs-legislation-targeting-unfair-ticketingpractices-live-event-industry>; see also Anne Steele, *New York to Ban Hidden Fees in Live-Event Ticketing*, Wall St. J. (June 7, 2022), <https://www.wsj.com/articles/new-york-to-ban-hidden-feesin-live-event-ticketing-11654606800>.

⁶¹ *Telemarketing Sales Rule*, FED. TRADE COMM’N (Dec. 14, 2015); *Complying with the Telemarketing Sales Rule*, FED. TRADE COMM’N <https://www.ecfr.gov/current/title-16/chapter-I/subchapter-C/part-310?toc=1>.

⁶² 59 FR 1611 (Jan 11, 1994).

FTC should consider industry-specific workshops, panels, consumer education, business guidance/educational materials, and investigations to tackle this concern. These efforts are easier to obtain and inexpensive compared with the cost and resources spent in compiling a trade regulation rule that lacks information applicable to an entire industry.⁶³ In doing so, the FTC will be better equipped to address the issue as it relates to unfair or deceptive fees. Through alternative approaches, the FTC can hear first-hand accounts of the issues consumers actually face.

For the reasons set forth above, ANA urges the Commission to consider alternate approaches instead of engaging in the rulemaking process as it pertains to fee disclosures.

Respectfully submitted,

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⁶³ *Rules Without Reason—The Case of the FTC*, Timothy J. Muris, AMERICAN ENTERPRISE INSTITUTE, <https://www.aei.org/articles/rules-without-reason-the-case-of-the-ftc/> (October 14, 1982).